UK BANKING RISK MONITOR

Weekly adverse news report

12 Oct – 18 Oct 2026 · 2026-W42

147 UK-incorporated banks on the PRA list · Generated 2026-10-19 09:49 UTC · Draft · Internal use

Material incidents	Critical or high	Banks concerned	Days searched
11	6	9	5/7
same as prior week	2 critical, 4 high	of 147 monitored	coverage incomplete

Executive summary

11 material adverse item(s) concerned 9 of the 147 monitored banks (2 critical, 4 high, 5 medium; 11 item(s) the week before). Cyber security was the most frequent theme with 4 item(s), followed by regulatory enforcement (3) and legal & conduct (2). 5 of 7 elapsed day(s) fully searched across every monitored bank. Days not fully searched may be missing incidents.

Executive assessment

The most material item this week is the confirmation that the Upper Tribunal will hear challenges to the FCA's motor finance redress scheme in February 2027, delayed from December 2026, with Aldermore's parent having put the bank up for sale amid £750 million of provisions and Bank of Ireland (UK) carrying £374 million of provisions [W42-01][W42-02]. Operational resilience failures at Co-operative Bank, where a payment gateway outage affected several credit unions, and at Nationwide, where duplicate debit card processing pushed customers into negative balances, are confirmed service incidents rather than allegations [W42-03][W42-04]. ABC International Bank reported a cyber attack via an IT service provider's online-banking systems, with customer login unavailable for three days, though the bank states no accounts or payments were affected [W42-06]. Revolut features twice on cyber and data matters, including a September 2026 social engineering incident affecting approximately 680 customers and reported dark-web sale of customer records possibly linked to an armed robbery, while Barclays faces a securities class action investigation over alleged misleading disclosures on a £600 million exposure and J.P. Morgan faces OCC findings on alleged improper denial of services and a harassment lawsuit [W42-08][W42-09][W42-07][W42-05][W42-10]. NatWest's phishing warning involves no confirmed losses or breach of bank systems [W42-11].

Key developments

CRITICAL	**Aldermore Bank Plc**	Motor finance legal battle set for February 2027 [W42-01]
CRITICAL	**Bank of Ireland (UK) Plc**	UK motor finance compensation scheme set for February legal challenge [W42-02]
HIGH	**The Co-operative Bank p.l.c.**	Service Update: The Co-operative Bank's payment processing issues resolved [W42-03]
HIGH	**Nationwide Building Society**	Nationwide shares update on major payment error as customer accounts 'emptied' [W42-04]
HIGH	**J.P. Morgan Europe Limited**	OCC report finds big banks denied services over politics, religion [W42-05]
HIGH	**ABC International Bank Plc**	Cyber attack on ABC Bank via IT service provider's online-banking systems [W42-06]

Questions for the risk committee

1. What is our direct and indirect exposure to Aldermore and Bank of Ireland (UK) motor finance redress provisions, and how would a February 2027 tribunal outcome flow through to our counterparty and provisioning assumptions? [W42-01][W42-02]
2. Do our own payment gateway and clearing arrangements have the same single-point-of-failure risk seen at Co-operative Bank, and when did we last test third-party payment continuity? [W42-03]

3. What controls do we have to detect and reverse duplicate debit card processing before customers are pushed into unarranged overdrafts, as occurred at Nationwide? [W42-04]
4. How do we assess concentration risk in IT service providers supporting online banking, and what assurance do we hold that a provider compromise would not affect accounts or payments, as ABC Bank asserts? [W42-06]
5. What is our exposure to Revolut and to the customer data reportedly sold on dark-web channels, and are our own KYC and social engineering controls adequate against fraudulent legal requests? [W42-08][W42-09]
6. What follow-up is needed on the Barclays securities investigation and the OCC findings concerning J.P. Morgan, including any read-across to our own disclosure and customer de-banking controls? [W42-07][W42-05]

By theme

Prior week: 05 Oct – 11 Oct 2026

THEME	THIS WEEK	PRIOR WEEK	CHANGE
Regulatory enforcement	3	0	+3
Legal & conduct	2	5	-3
Cyber security	4	0	+4
IT & operational resilience	2	2	-
Financial crime	0	0	-
Capital & liquidity	0	4	-4
Total	**11**	**11**	**-**

By sector

Banks grouped by business model

SECTOR	INCIDENTS	BANKS CONCERNED
Retail & ring-fenced	4	4
Digital & challenger	2	1
Wholesale & investment	2	1
Specialist lenders	1	1
International & trade	1	1
Outside the PRA list	1	1

Banks concerned

BANK	INCIDENTS	HIGHEST SEVERITY	REFERENCES
Aldermore Bank Plc	1	Critical	W42-01
Bank of Ireland (UK) Plc	1	Critical	W42-02
J.P. Morgan Europe Limited	2	High	W42-05, W42-10
The Co-operative Bank p.l.c.	1	High	W42-03
Nationwide Building Society	1	High	W42-04
ABC International Bank Plc	1	High	W42-06
Revolut Bank UK Ltd	2	Medium	W42-08, W42-09
Barclays Bank UK PLC	1	Medium	W42-07
National Westminster Bank Public Limited Company	1	Medium	W42-11

Search coverage

5 of 7 elapsed day(s) fully searched across every monitored bank. Days not fully searched may be missing incidents.

DAY	STATUS	BANKS VERIFIED
Mon, 12 Oct 2026	searched	147 / 147
Tue, 13 Oct 2026	partly verified	144 / 147
Wed, 14 Oct 2026	partly verified	140 / 147
Thu, 15 Oct 2026	searched	147 / 147
Fri, 16 Oct 2026	searched	147 / 147
Sat, 17 Oct 2026	searched	147 / 147
Sun, 18 Oct 2026	searched	147 / 147

Incident index

Most severe first; references are used throughout this report

REF	DATE	BANK	THEME	SEVERITY
W42-01	Tue, 13 Oct 2026	Aldermore Bank Plc	Regulatory enforcement	Critical
W42-02	Tue, 13 Oct 2026	Bank of Ireland (UK) Plc	Regulatory enforcement	Critical
W42-03	Mon, 12 Oct 2026	The Co-operative Bank p.l.c.	IT & operational resilience	High
W42-04	Tue, 13 Oct 2026	Nationwide Building Society	IT & operational resilience	High
W42-05	Wed, 14 Oct 2026	J.P. Morgan Europe Limited	Regulatory enforcement	High
W42-06	Sun, 18 Oct 2026	ABC International Bank Plc	Cyber security	High
W42-07	Mon, 12 Oct 2026	Barclays Bank UK PLC	Legal & conduct	Medium
W42-08	Mon, 12 Oct 2026	Revolut Bank UK Ltd	Cyber security	Medium
W42-09	Wed, 14 Oct 2026	Revolut Bank UK Ltd	Cyber security	Medium
W42-10	Wed, 14 Oct 2026	J.P. Morgan Europe Limited	Legal & conduct	Medium
W42-11	Sat, 17 Oct 2026	National Westminster Bank Public Limited Company	Cyber security	Medium

Incident details

W42-01 · CRITICAL

Motor finance legal battle set for February 2027

Tue, 13 Oct 2026 · Aldermore Bank Plc · Regulatory enforcement · £750.0m · Upper Tribunal February 16–26, 2027 hearings

The UK Upper Tribunal has scheduled hearings for February 16–26, 2027, to hear lender challenges against the Financial Conduct Authority's motor finance redress scheme. In covering the sector-wide fallout, the report highlights Aldermore Bank, noting that parent company FirstRand put the bank up for sale due to redress exposure and financial strain after previously setting aside £750 million in motor finance mis-selling provisions.

Why it matters: Involves £750 million in motor finance mis-selling provisions, sector-wide FCA redress exposure, and the parent company putting the bank up for sale.

Source: City AM · Media report · Specialist lenders
https://www.cityam.com/motor-finance-legal-battle-set-for-february-2027/

W42-02 · CRITICAL

UK motor finance compensation scheme set for February legal challenge

Tue, 13 Oct 2026 · Bank of Ireland (UK) Plc · Regulatory enforcement · £374.0m

The UK Upper Tribunal confirmed that legal challenges against the Financial Conduct Authority's £9.1 billion motor finance compensation scheme will be heard in February 2027, delayed from December 2026. Bank of Ireland is an in-scope peer lender through its UK motor finance operations (Northridge Finance), having previously recognized £374 million in provisions.

Why it matters: Concerns a multi-billion pound regulatory redress scheme with systemic sector-wide impact for which Bank of Ireland has recognized £374 million in provisions.

Source: Alliance News / PA Media · Media report · Retail & ring-fenced
https://shareprices.com/news

W42-03 · HIGH

Service Update: The Co-operative Bank's payment processing issues resolved

Mon, 12 Oct 2026 · The Co-operative Bank p.l.c. · IT & operational resilience

Technical issues on The Co-operative Bank's payment gateway caused delays to inbound and outbound payments for client credit unions including Cambrian Credit Union, Gateway Credit Union Wales, and Wolverhampton City Credit Union over the weekend of October 9–11, 2026. On October 12, 2026, Cambrian Credit Union confirmed that the payment processing issues were resolved and normal transaction processing had resumed.

Why it matters: Payment gateway disruption affected clearing infrastructure and payment transfers for multiple UK credit unions and their members.

Source: Cambrian Savings & Loans · Bank disclosure · Retail & ring-fenced
https://www.instagram.com/p/DPvK0x5iMtz/

W42-04 · HIGH

Nationwide shares update on major payment error as customer accounts 'emptied'

Tue, 13 Oct 2026 · Nationwide Building Society · IT & operational resilience

Nationwide Building Society experienced an IT payment glitch where debit card payments made over the weekend were processed twice, showing as settled and pending transactions simultaneously. The duplicate deductions reduced customers' available balances and pushed some into negative balances and unarranged overdrafts, though Nationwide confirmed balances would be restored automatically.

Why it matters: IT operational glitch causing duplicate payment deductions and balance disruptions for multiple debit card and current account holders.

Source: Liverpool Echo · Media report · Outside the PRA list
https://www.liverpoolecho.co.uk/news/cost-of-living/nationwide-shares-update-major-payment-34757263

W42-05 · HIGH

OCC report finds big banks denied services over politics, religion

Wed, 14 Oct 2026 · J.P. Morgan Europe Limited · Regulatory enforcement

The US Office of the Comptroller of the Currency released findings from a review of large US lenders, including JPMorgan Chase, alleging that banks restricted or denied banking services between 2020 and 2025 based on non-objective criteria, political sensitivities, or blanket policy exclusions.

Why it matters: Findings from a federal regulatory review alleging improper denial and restriction of banking services to commercial customers and sectors.

Source: Quartz · Media report · Wholesale & investment
https://qz.com/banks-debanking-discrimination-occ-report-1851672304

W42-06 · HIGH

Cyber attack on ABC Bank via IT service provider's online-banking systems

Sun, 18 Oct 2026 · ABC International Bank Plc · Cyber security

Readers reported a successful cyber attack on ABC Bank (Werhahn Group). After a login was unavailable for three days, the bank emailed a customer stating that unauthorised parties accessed individual system components at an IT service provider for online banking during a cyber attack. The bank said the incident was immediately investigated by internal and external IT security experts, that no accounts or payments were affected, and that there was no spread to other systems or components. The bank's official website reportedly said nothing about the incident.

Why it matters: Cyber attack affecting online-banking systems via an IT service provider, with customer login unavailable for three days; a data/cyber security incident affecting customers and bank operations.

Source: borncity · Media report · International & trade
https://borncity.com/blog/2026/10/18/cyberangriff-auf-abc-bank-connectwise-cloud-backup-kompromittierung/

W42-07 · MEDIUM

Rosen Law Firm Encourages Barclays PLC Investors to Inquire About Securities Class Action Investigation - BCS

Mon, 12 Oct 2026 · Barclays Bank UK PLC · Legal & conduct

Global investor rights firm The Rosen Law Firm reissued a public notice advising Barclays PLC investors of an ongoing investigation into potential securities class action claims regarding allegations that Barclays may have issued materially misleading business information concerning its £600 million credit exposure to collapsed UK lender Market Financial Solutions.

Why it matters: Securities class action investigation concerning alleged materially misleading disclosures regarding a £600 million credit exposure.

Source: PR Newswire · Allegation · Retail & ring-fenced
https://www.morningstar.com/news/pr-newswire/20261012ny92705/rosen-law-firm-encourages-barclays-plc-investors-to-inquire-about-securities-class-action-investigation-bcs

W42-08 · MEDIUM

Revolut, Betterment's Challenging Digital Onboarding And KYC Process Highlights Issues With Balancing Security, Compliance, User Experience

Mon, 12 Oct 2026 · Revolut Bank UK Ltd · Cyber security

An analysis details onboarding friction and compliance challenges regarding AML and KYC mandates at Revolut, revisiting a September 2026 social engineering and phishing incident where staff inadvertently released KYC and personal data for approximately 680 customers in response to fraudulent legal requests from a compromised Italian government email address.

Why it matters: Involves a customer data breach and social engineering security incident impacting approximately 680 customers, alongside compliance and AML/KYC operational challenges.

Source: Crowdfund Insider · Media report · Digital & challenger
https://www.crowdfundinsider.com/2026/10/243615-revolut-betterments-challenging-digital-onboarding-and-kyc-process-highlights-issues-with-balancing-security-compliance-user-experience/

W42-09 · MEDIUM

Revolut data breach may be linked to $800,000 robbery

Wed, 14 Oct 2026 · Revolut Bank UK Ltd · Cyber security

Cybersecurity researchers reported concerns that an armed home invasion targeting a UK cryptocurrency investor was facilitated by leaked Revolut customer records sold on dark web channels, which contained identifying details, physical addresses, and transactional records of users with large crypto balances.

Why it matters: Involves a cyber data breach and compromise of customer identifying details, addresses, and transactional records sold on dark web channels.

Source: Cybernews · Media report · Digital & challenger
https://cybernews.com/news/revolut-data-breach-linked-to-800k-crypto-robbery-fears/
Also: Crowdfund Insider (Sun, 11 Oct 2026)
https://www.crowdfundinsider.com/2026/10/317430-revolut-betterments-challenging-digital-onboarding-and-kyc-process-highlights-issues-with-balancing-security-compliance-user-experience/

W42-10 · MEDIUM

Ex-banker’s lawyers want out of controversial sexual harassment suit

Wed, 14 Oct 2026 · J.P. Morgan Europe Limited · Legal & conduct

In an ongoing civil lawsuit in Manhattan federal court alleging sexual assault, harassment, and pervasive racial discrimination against JPMorgan Chase and several managers, attorneys for the plaintiff filed a motion to withdraw from representation due to an irreparable breakdown in the attorney-client relationship, which JPMorgan opposed.

Why it matters: High-profile civil litigation alleging senior management misconduct, sexual harassment, and racial discrimination against the bank.

Source: Courthouse News Service · Media report · Wholesale & investment
https://www.courthousenews.com/ex-bankers-lawyers-want-out-of-controversial-sexual-harassment-suit/

W42-11 · MEDIUM

NatWest warns customers over phishing email scam impersonating the bank

Sat, 17 Oct 2026 · National Westminster Bank Public Limited Company · Cyber security

NatWest customers are being warned about fraudulent phishing emails that mimic the bank's branding and ask recipients to review and update their personal details, in an attempt to obtain customer information.

Why it matters: Phishing campaign impersonating the bank targeting customers' personal details; a fraud/cyber-control concern affecting customers, though no confirmed losses or breach of bank systems are reported.

Source: Birmingham Live · Media report · Retail & ring-fenced
https://www.birminghammail.co.uk/news/cost-of-living/natwest-issues-warning-over-email-34752474

Appendix A - Seen but not retained

16 item(s) seen by the searches but not retained: 3 minor, 8 recap(s) of earlier events, 5 about a parent group outside the UK. Listed for completeness; not counted anywhere in this report.

BANK	ITEM SEEN	WHY NOT RETAINED
Barclays Bank Plc	Barclays Investor News: If You Have Suffered Losses in Barclays PLC (NYSE: BCS), You Are Encouraged to Contact The Rosen Law Firm About Your Rights	Minor
Lloyds Bank PLC	Lloyds closing 17 Lloyds and Halifax bank branches starting today	Minor
Lloyds Bank PLC	RBC Capital Markets downgrades Lloyds to 'sector perform' on deposit competition and margin pressure	Minor
Bank Saderat Plc	Lebanon's central bank revokes local license of Bank Saderat	Parent group outside the UK
Bank Saderat Plc	Lebanon's central bank revokes Bank Saderat Iran's local operating license	Parent group outside the UK
Bank Saderat Plc	Lebanon revokes Bank Saderat Iran's operating license amid US pressure over Hezbollah financing	Parent group outside the UK
Credit Suisse International	Swiss top court upholds cancellation of Credit Suisse bonuses	Parent group outside the UK
National Westminster Bank Public Limited Company	NatWest withdraws markets securities business from New York Fed primary dealers list	Parent group outside the UK
Bank Saderat Plc	Weekly Sanctions Update: September 28, 2026	Recap of an earlier event
Bank Sepah International Plc	Sanctions: Fortnightly Summary	Recap of an earlier event
Barclays Bank Plc	Barclays offers a golden lesson in how not to handle a return-to-office mandate	Recap of an earlier event
Melli Bank plc	Weekly Sanctions Update: September 28, 2026	Recap of an earlier event
Melli Bank plc	Sanctions: Fortnightly Summary	Recap of an earlier event
Persia International Bank Plc	Sanctions: Fortnightly Summary	Recap of an earlier event
Revolut Bank UK Ltd	Revolut wants to evolve from bank to tech giant	Recap of an earlier event
The Bank of New York Mellon (International) Limited	Cass Breach Consequences And Sanctions	Recap of an earlier event

Appendix B - Method and perimeter

Perimeter: the banks incorporated in the UK and authorised to accept deposits on the monthly PRA lists of 2026 (147 as at 1 October 2026). Each bank is searched every day, and a bank that left the list is searched for the days it was still on it. Items come from a daily web search (Google search through Gemini, or Bing News and GDELT analysed by DeepSeek when Gemini is unavailable), from official FCA and Bank of England publications, and from documents analysts import or items they enter; each is kept only if its source is the article itself, it was published within the window and it names the bank. Materiality follows the incident policy: an isolated complaint is not an incident because it is reported, and there is no amount threshold either way; wider harm, repetition across customers, control weakness, legal or regulatory significance and impact on the bank decide. Recaps of earlier events and news about a parent group outside the UK are set aside and listed in the appendix; unconfirmed signals are kept as leads for verification and are not counted. Analysts can exclude further items, also listed in the appendix. Severity: critical = enforcement or loss above £10m, systemic impact, major breach or outage; high = formal regulatory or court action, significant

customer impact; medium = other material items. Sectors group the banks by business model.

Independent analytical tool. Not affiliated with, maintained by, or endorsed by the Prudential Regulation Authority, the Financial Conduct Authority or the Bank of England.